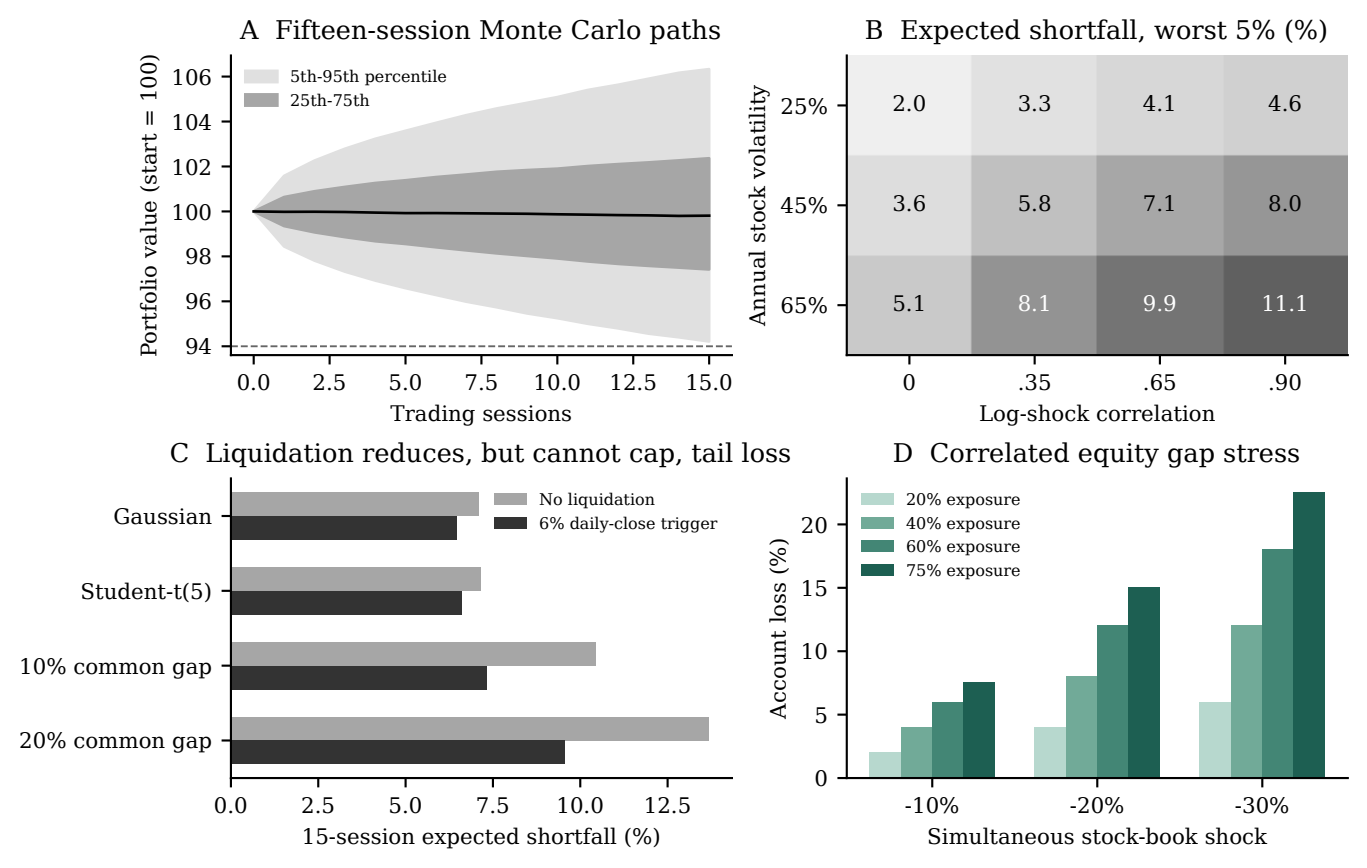
A Fifteen-session Monte Carlo paths
5th-95th percentile
25th-75th
Portfolio value (start = 100)
106
104
102
100
98
96
94
0.0
2.5
5.0
7.5
10.0
12.5
15.0
Trading sessions
B Expected shortfall, worst 5% (%)
Annual stock volatility
25%
45%
2.0
3.3
4.1
4.6
45%
3.6
5.8
7.1
8.0
65%
5.1
8.1
9.9
11.1
0
.35
.65
.90
Log-shock correlation
C Liquidation reduces, but cannot cap, tail loss
No liquidation
6% daily-close trigger
Gaussian
Student-t(5)
10% common gap
20% common gap
0.0
2.5
5.0
7.5
10.0
12.5
15-session expected shortfall (%)
D Correlated equity gap stress
20% exposure
40% exposure
60% exposure
75% exposure
Account loss (%)
0
5
10
15
20
-10%
-20%
-30%
Simultaneous stock-book shock